

Initial DeFi Offering

An interesting consequence of yield farming is that a user can create an *initial DeFi offering* (IDO) by market making their own Uniswap (discussed in the next chapter) trading pair. They can set the initial exchange rate by becoming the first liquidity provider on the pair. Suppose the user's token is called DFT and has a total supply of 2 million. They can make each DFT worth 0.10 USDC by opening the market with 1 million DFT and 100,000 USDC. Any ERC-20 token holder can purchase DFT, which drives up the price. As the only liquidity provider, the user also receives all the trading fees. In this way, they can get their token immediate access to as many users as possible. The method sets an artificial price floor for the token if the user controls the supply outside of the amount supplied to the Uniswap market and, as such, inhibits price discovery. The trade-offs of an IDO should be weighed as an option, or strategy, for a user's token distribution.

IDOs democratize access to DeFi in two ways. First, an IDO allows a project to list on high-traffic DeFi exchanges that do not have barriers to entry beyond the initial capital. Second, an IDO allows a user access to the best new projects immediately after the project lists.

OPACITY

The third drawback of traditional finance is opacity. DeFi elegantly solves this problem through the open and contractual